

Budgeting for a Large-Scale Infrastructure Project

ISM 555 – Case Study Analysis (Week 7)

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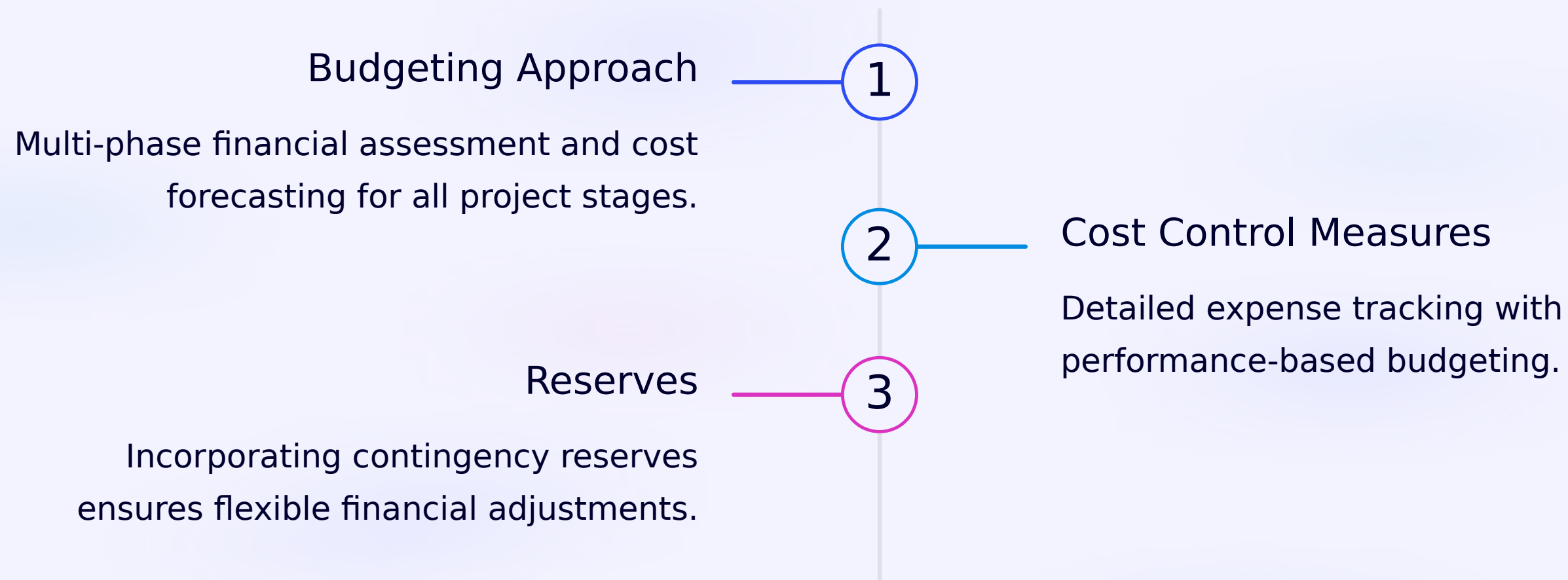
Navya Sri Katta

Project Overview & Objectives

A strategic financial plan ensures cost-effective project completion by optimizing stability, efficiency, and risk management.

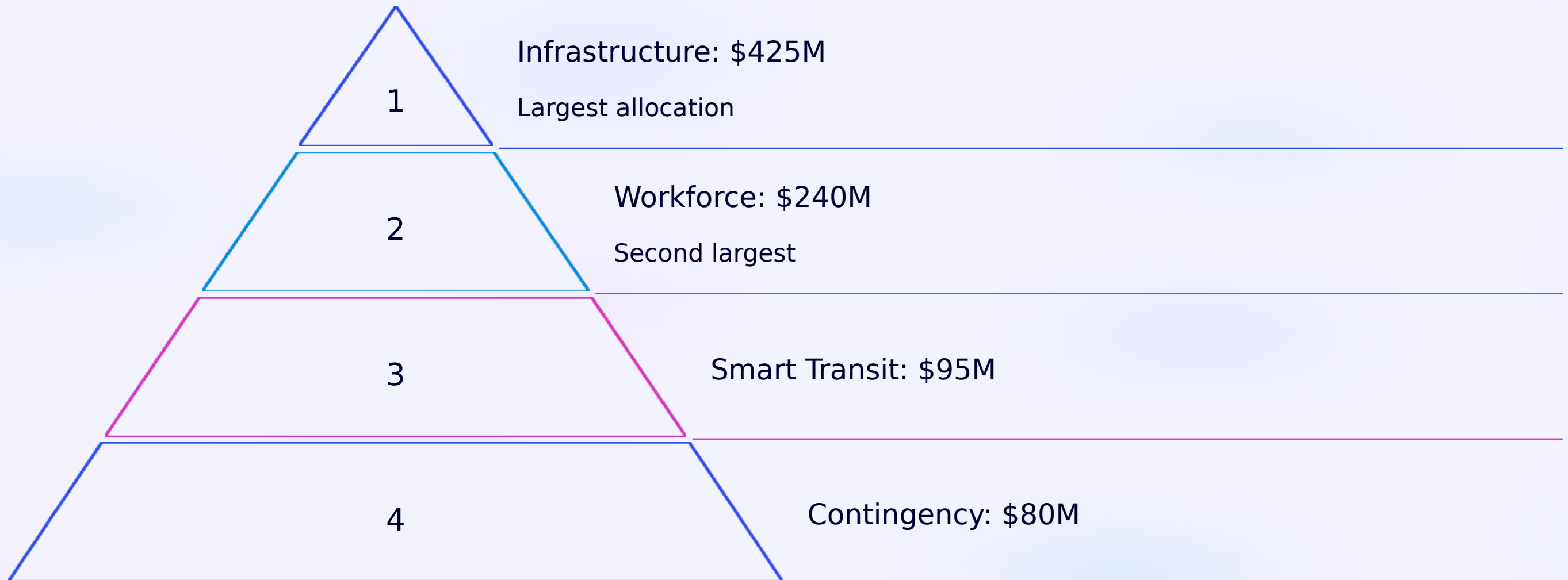


Budgeting Approach & Cost Control



Estimated Budget Breakdown

The estimated budget ranges from \$600M to \$950M. Below is a breakdown of how funds are allocated, highlighting key investment priorities.



Earned Value Management (EVM)



Maintain Budget Compliance

Ensures projects stay within approved financial limits.



Early Detection of Cost Overruns

Helps in proactively identifying and addressing potential budget deviations.



Key Performance Indicators (KPIs)

Provides metrics to evaluate budget performance and resource utilization.

Performance Indicators for Budget Oversight

> 1

CPI

Project is financially efficient (under budget)

< 1

CPI

Project is exceeding planned costs (over budget)

> 1

SPI

Project is ahead of schedule

< 1

SPI

Project is delayed

Managing Financial Risks and Cost Deviations

Key financial risks and cost deviations in large infrastructure projects must be managed to maintain budget stability and project success.



Material Costs

Fluctuations in material prices (steel, concrete, etc.) can significantly impact the budget. Mitigate this through hedging, long-term contracts, and exploring alternative materials. Regular market analysis is crucial.



Contractor Delays

Delays caused by contractors can disrupt timelines and increase costs. Implement robust contract management, clear performance metrics, and enforce delay penalties. Open communication can minimize disruptions.

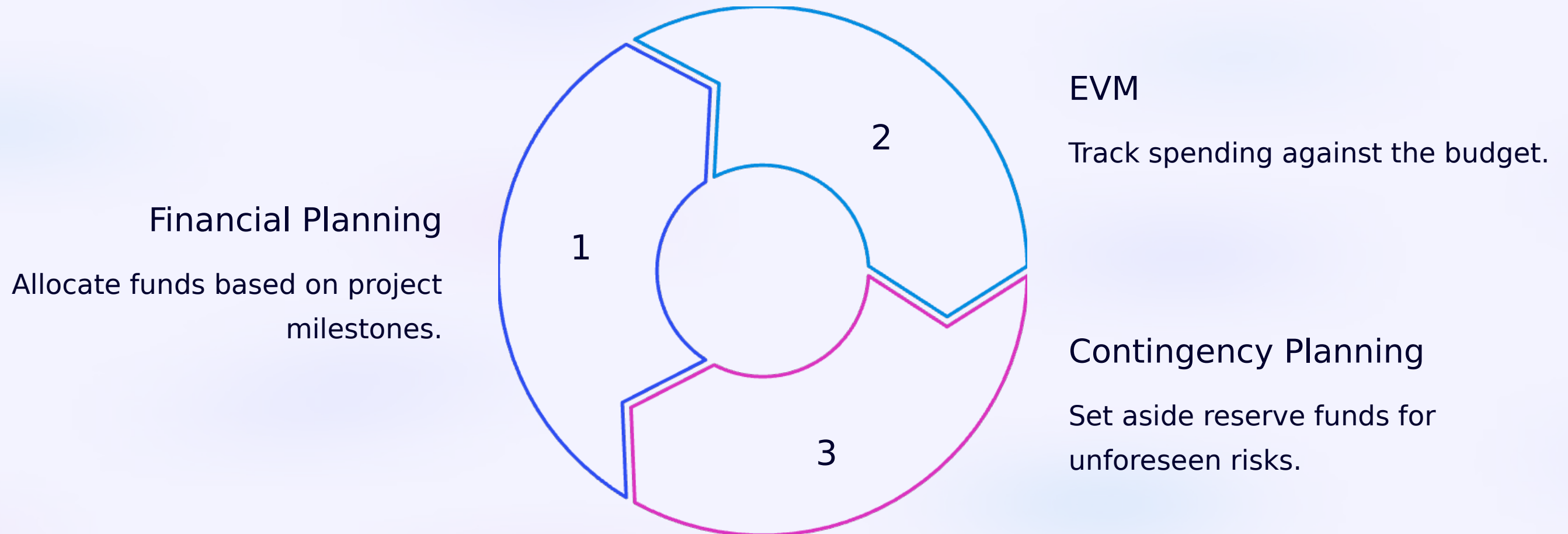


Regulatory Compliance

Changes in regulations can lead to costly redesigns and compliance measures. Engage legal experts early to understand applicable laws and potential changes. Proactive compliance planning can address challenges before they escalate.

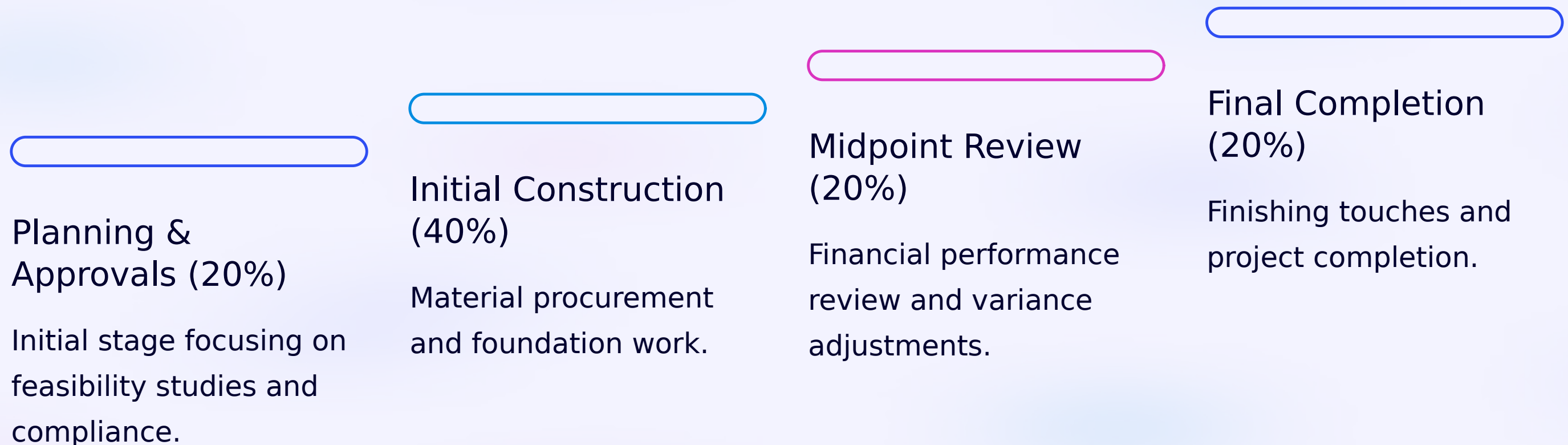
Ensuring a Stable Cash Flow

Maintaining a stable cash flow requires a cyclical approach. This involves aligning funds with a detailed financial plan, continuously tracking expenditures via EVM to promptly address any budget deviations, and establishing a contingency fund to cushion against unexpected financial risks, thereby ensuring project solvency and continuity.



Ensuring Budget Alignment with Project Milestones

Aligning budget with project phases ensures financial control and efficient resource allocation. Here's how budget is distributed across the project timeline:



Final Insights & Budgeting Recommendations



Strategic Planning

Forecast expenses and incorporate a risk-adjusted contingency fund.

Key Takeaway: Effective budgeting, monitoring, and risk mitigation are crucial for large-scale project



Financial Tracking

Monitor project progress to ensure spending stays within planned limits.



Risk-Responsive Budgeting

Adjust financial plans in response to market volatility.

THANK YOU!